DRN-2800821

The complaint

Mrs D complains that Aviva Insurance Limited unfairly increased the price of her home insurance policy over an eight-year period.

Mrs D is represented by her son, Mr D.

What happened

Mrs D took out her policy in 2010, through her bank. The policy was underwritten by Aviva and it set the price from inception. The bank administered the policy until 2014, but Aviva then took over the policy's administration.

In 2019, Mr D complained about the premiums Mrs D had been paying after he was able to get a much cheaper quote for her elsewhere.

Whilst investigating the complaint, Aviva discovered that when it took over the administration of the policy, it incorrectly included a 2006 claim. As a result, Mrs D had been overcharged since 2014. Aviva refunded the overcharged amount (£906), with interest – which came to £1,161.

After the deduction of the £906 already refunded, Mrs D's premium had the following journey:

- The policy cost £362 when it was first taken out in 2010. When the policy renewed in 2011, the premium increased by about 6%

- Between 2012 and 2015, the policy increased each year by about: 73%, 71%, 56%, and 47%. In 2015, the premium had risen to £2,616.

- In 2016, the premium fell by about 51% to £1,290.

- The premium then increased again in 2017 and 2018 by about: 1% and 0.5%. In 2018, at the last renewal, the premium was £1,309.

When responding to the complaint, Aviva explained that since mid-2012, it had been rating the property as a high flood risk. Aviva named the source of the risk and explained it didn't have any information to suggest the property was benefitting from flood defences. Aviva explained that between 2012 and 2016, the premiums charged were appropriate for the overall risk (once the recent refund had been deducted).

Aviva explained that since the 2016 renewal, Aviva has been able to cede the flood risk for Mrs D's property to the Flood Re scheme (which was launched earlier that year to enable accessible and affordable flood cover). Aviva says this is why her renewal premium then reduced.

Aviva acknowledged that Mr D had been able to find alternative quotes for Mrs D's property, for about £400 a year. However, Aviva said it would have been extremely unlikely that such quotes would have been available before the launch of the Flood Re scheme.

Mr D remained unhappy, so he contacted our service. One of our investigators considered the complaint, but she didn't think Aviva needed to refund anything further. Because Mr D disagreed, Mrs D's complaint was passed to me to decide.

I issued a provisional decision, explaining I intended to uphold the complaint in part. In my provisional decision I said:

"I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

I don't have the power to tell an insurer how to price risk and what an insurance policy should have cost. I would be, in effect, determining or telling a business how it should operate – and that's not my role. But I can decide whether Aviva treated Mrs D fairly throughout the period she held her insurance policy.

In my view, there are three periods to consider. These are: 2010 to 2011; 2012 to 2015; and 2016 to 2018. I will address these three periods in turn.

2010 to 2011

To attract new business, it's common for a new policy to include a 'new customer' discount. The insurer will usually recoup the discount over the years, by retaining the customer and increasing their premium to bring it in line with its standard pricing model.

Aviva says, due to the passage of time, it can't confirm if a discount was applied to Mrs D's policy when it was first taken out. However, given what this service knows about the pricing of new policies, and that Mrs D's policy increased by less than £20 on the first renewal, I'm not persuaded I can reasonably decide Aviva unfairly increased her premium in 2011.

2012 to 2015

Aviva says the reason the premium increased so significantly during this period, was due to it rating Mrs D's property a high flood risk. Mr D disputes the property was at risk of flooding. However, it's not for me to decide what level of flood risk the property posed, or how Aviva should have determined the risk.

Insurers assess and treat risk differently, and an insurer will base its premiums on its own assessment of risk. An insurer may decide it's taking a significant risk insuring a particular property, whereas another insurer might not – and there will generally be different factors and reasons for each insurer's decision. I don't have the power to tell an insurer what its assessment of risk should be.

Aviva has told us that since 2012, its flood mapping model has rated Mrs D's property as being at a 'significant risk' of flood, and had she approached Aviva as a new customer, it wouldn't have offered her cover.

Aviva says, as per the Association of British Insurer's (ABI) agreed 'Statement of Principles', which was published in 2008 after significant floods, Aviva continued to offer cover to Mrs D with premiums that reflected the increased risk.

Aviva has also explained that, it recognised its policyholders who were now considered to be at 'significant risk', wouldn't be able to shop around, as other insurers would likely decline to offer cover. So, to treat them fairly, Aviva didn't increase their premiums in one go. Instead, Aviva steadily increased their premiums over time. This is why Mrs D's premium continued increasing between 2012 and 2015. Aviva says, as a result, her premiums during this time were significantly below the full cost of insuring the risk.

An insurer's view of risk, and how it assesses and prices risk, evolves over time. Aviva was entitled to change the way it assesses flood risk, and based on the information this service has seen, I consider it more likely than not, the premiums it charged Mrs D between 2012 and 2015 were fair.

<u>2016 to 2018</u>

Although Mrs D's premium reduced significantly in 2016 after Aviva ceded the flood risk for her property to the Flood Re scheme, it was still 234% higher than the last premium before Aviva rated the property to be at significant risk of flooding. So, given Aviva had ceded the flood risk for Mrs D's property (i.e. the cause of the premium increase between 2012 and 2015), and home insurance prices had remained relatively stable since 2011, I would reasonably expect Mrs D's premium to have returned to that previous level, plus an additional amount for the cost of ceding the flood risk.

Based on my exchanges with Aviva, even once the Flood Re charges and higher insurance premium tax in 2016, 2017 and 2018 have been accounted for, there's still a significant difference between the 2011 and the 2016, 2017 and 2018 premiums.

As Aviva will be aware, where an insurer knew, or ought reasonably to have known, that its policyholder wasn't engaging with the renewals process, it should have taken care to make sure it treated them fairly – and that it didn't take advantage of the policyholder's behaviour by increasing their premiums just because they didn't engage with the cost. We generally consider an insurer ought reasonably to have known its policyholder wasn't engaging by their fifth renewal, which for Mrs D was in 2015. There's no indication that Mrs D had engaged with the cost of her policy before 2019.

To put matters right, I intend to decide Aviva should recalculate the 2016, 2017 and 2018 premiums by following the below method, for each year:

- *(A + B) + C*
- *A = the 2011 premium, less the insurance premium tax for that year and the amount charged for flood risk*
- *B = the cost of ceding the flood risk to the Flood Re scheme (which for Mrs D's property was £330 in 2016 and 2017, and £335 in 2018)*
- *C = insurance premium tax, at the applicable rate for that year*

Aviva will need to refund Mrs D the difference between the three recalculated premiums and the premiums she actually paid, plus 8% simple interest per year (less tax if applicable) from the date of each instalment until the date the settlement is made."

Aviva accepted my provisional decision. However, it explained it doesn't have a breakdown of the premiums before it took over the administration of the policy in 2014. So, it couldn't determine what proportion of the 2011 premium was to provide flood cover (which was required for part A of my proposed redress calculation).

Mr D also responded. He again questioned whether the property was at risk of flooding and asked for the evidence Aviva had relied on. Mr D also asked why he was recently able to obtain a quote from Aviva, for Mrs D's property, for £432. He also noted Mrs D hasn't yet cashed the cheque for the previous £906 refund.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I acknowledge Mr D remains unhappy that, since 2012, Aviva has been rating the property to be at a significant risk of flooding. However, Aviva has named the source of the risk and it's explained there was a change to its flood mapping model. As explained in my provisional decision, Aviva was entitled to change its assessment of risk. I don't consider that Aviva needs to provide anything further in respect of the 2012 to 2015 premium.

Mr D points towards a recent quote from Aviva, for £432, for Mrs D's property. However, as explained in my provisional decision, I would reasonably expect the cost of her cover after 2016, to be much lower than the premiums she was charged. This is because, since that time, Aviva has been able to cede the flood risk to the Flood Re scheme. The redress calculation I set out in my provisional decision seeks to put that matter right.

I appreciate the £432 quote will be lower than the recalculated premiums for 2016 to 2018. However, I consider it likely that Mr D's recent quote was benefitting from a new customer discount. In any event, I remain of the view that the proposed method for recalculating Mrs D's premiums for 2016 to 2018, is fair and reasonable.

That said, in view of Aviva's comments about not having a breakdown of the policy premium before it took over the policy's administration in 2014, I've adjusted the calculation. Aviva doesn't know the amount charged for flood risk in 2011. However, I consider it fair for an amount to still be deducted from part A of the calculation, to acknowledge some of the premium would have been for flood risk. In the absence of the true figure, and in the interests of fairness, I consider that Aviva should simply deduct 10%.

So, to put matters right, Aviva should recalculate the 2016, 2017 and 2018 premiums by following the below method, for each year:

- (A + B) + C
- A = the 2011 premium, less the insurance premium tax for that year and 10% of the 2011 premium
- B = the cost of ceding the flood risk to the Flood Re scheme (which for Mrs D's property was £330 in 2016 and 2017, and £335 in 2018)
- C = insurance premium tax, at the applicable rate for that year

Aviva will need to refund Mrs D the difference between the three recalculated premiums and the premiums she actually paid, plus 8% simple interest per year (less tax if applicable) from the date of each instalment until the date the settlement is made.

Finally, Mr D says the cheque for the initial refund (£906, plus interest) hasn't been cashed yet. Based on Aviva's complaint response letter, it sent two cheques. A further amount was sent due to an error with the interest calculation. It follows that if these cheques haven't yet been cashed, and they are no longer valid, then Mr D should discuss the matter with Aviva so it can cancel the cheques it sent and reissue the refund.

My final decision

For the reasons I've set out above, and in my provisional decision, I uphold this complaint in part. My final decision is Aviva Insurance Limited should:

- recalculate the 2016, 2017 and 2018 premiums based on the *updated* method I've outlined above; and

- pay Mrs D the difference between the recalculated premiums and the premiums paid in 2016, 2017, and 2018; plus 8% simple interest[1] per year from the date of each instalment until the date the settlement is made

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs D to accept or reject my decision before 3 June 2021.

Vince Martin
Ombudsman

[1]If Aviva Insurance Limited considers that it's required by HM Revenue & Customs to deduct income tax from any interest paid, it should tell Mrs D how much it's taken off. If requested, it should also provide Mrs D with a certificate showing the amount deducted, so she can reclaim it from HM Revenue & Customs if appropriate.